

2026 Private Markets Outlook

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Key points

For 2026, we see three macro themes emerging: broadening, steepening and weakening.

Broadening reflects our conviction that investment opportunities across regions and asset classes are expanding.

Steepening refers to yield curves, where falling short-term interest rates should incentivize many investors to move out of cash holdings and into risk assets, including equities, credit and duration fixed income.

Weakening regards the US dollar, which we think augurs well for emerging debt and equity markets, and is also an important development for portfolio management and hedging strategies.

As we examine 2025 and consider the new year ahead, we see a backdrop of new highs in US equity markets, a resumption of the Federal Reserve's rate-cutting cycle and still stubborn inflation. Geopolitical risks around the world remain elevated, with the markets still digesting the impact of trade tariffs and their long-term implications. Based on the current market backdrop, in this 2026 Private Markets Outlook, we see the following opportunities in private markets in the year ahead.

Private equity: While exits have picked up, and valuations are down, we still favour secondaries due to attractive fundamentals and their built-in structural advantages.

Private credit: We find more attractive opportunities with asset-based finance and commercial real estate debt, which have their own unique risk, return and correlation characteristics.

Real estate: We continue to have concerns about the office sector, but believe that multi-family, industrials and other sectors can provide attractive opportunities.

Infrastructure: We believe infrastructure represents an emerging opportunity, and see the most attractive opportunities in digital infrastructure, decarbonization, deglobalization and demographics.

There will be some areas that face considerable headwinds, while others will benefit from structural changes underway. Our highest-conviction ideas are private equity secondaries, commercial real estate debt, real estate and infrastructure.

In our view, manager selection will be critical in distinguishing among the winners and losers, where we anticipate a larger dispersion of returns. We also believe there will be a big difference in deploying capital today versus older vintages (2020-2023).

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